

as an illusion anyway, so let the less fortunate of the world save themselves instead of our having to do it. So badness came in.

At one point, to prove that badness was more profitable than goodness in the emerging environment, we tested two portfolios, one of which exuded sanctity, while the other oozed vice. Vice won, and about time, too, because there's more profit in it.

36-MONTH PRICE CHANGE
September 30, 1975–September 30, 1978

VIRTUOUS PORTFOLIO		WICKED PORTFOLIO	
Angelica	+45%	Playboy	+600%
L. S. Good	+5%	Frederick's of	
Church's Fried		Hollywood	-23%
Chicken	+520%	Golden Nugget	+197%
Mangood Ind.	+30%	National Distillers	+45%
St. Joseph Light	+29%	U.S. Tobacco	+87%
Friendly Ice Cream	<u>-29%</u>	DeBeers Mines	<u>+59%</u>
Average	+100%	Average	+161%

The prime test of my theory was the superstock of the year, which went nowhere when it had the "good" name of Mary Carter Paint, but which went from less than \$1 to a high of \$70 after it changed its name to Resorts International.

Statistical Note: This study was done by the usual techniques of financial analysis: (a) the stocks chosen have nothing to do with the subject and (b) the portfolios were readjusted until the answer affirmed the hypothesis. A superior methodology would have been: (1) select more representative sample portfolios and (2) if the results contradict the hypothesis, ignore the results. A good theory can withstand mere disproof.